

INSURANCE AND PENSIONS COMMISSION



FIRST QUARTER REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2014

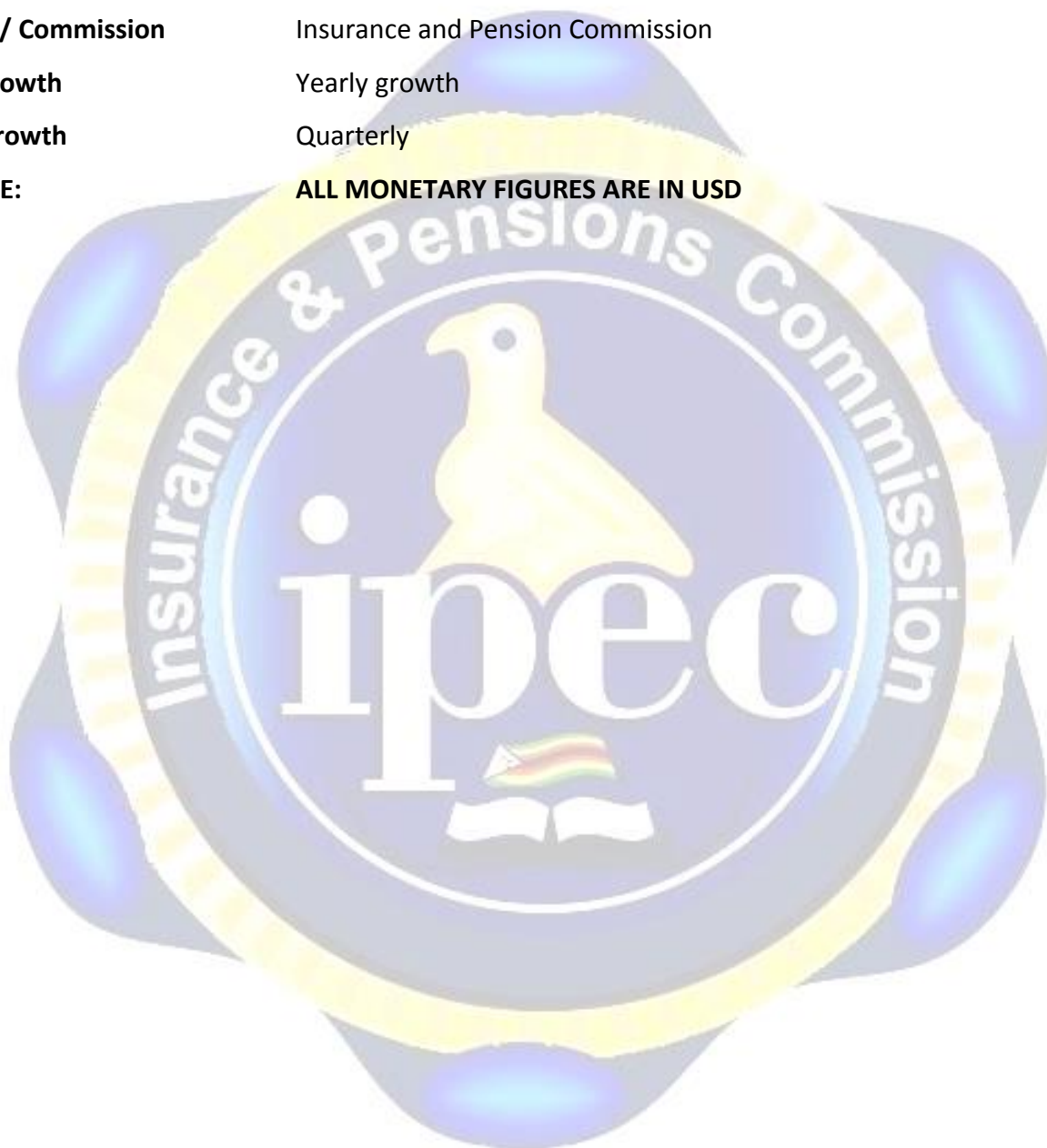
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

The report is based on 9 and not 11 players as reported in the comparable period last year because other players have opted to diversify into the broader life assurance business.

The funeral industry wrote \$9million in net premiums, a 15% growth from \$8million reported for the first quarter last year. The industry reported an operating profit of \$3million against a combined ratio of 70% with 61% of total costs being purely management costs. These statistics show that there is greater scope for enhanced value addition to policyholders in terms of product features and new products.

For the quarter under review, total assets were \$40million against liabilities amounting to \$16million. The industry was capitalized to the tune of 1.53 times, at \$24million, to the liabilities (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Performance indicator	Funeral Assurance		
	March 2013	March 2014	Growth
Gross Premiums Written(\$000)	7,720	8,869	15%
Net Premiums Written (\$000)	7,719	8,866	15%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	1,397	1,724	23%
Total Net Claims (\$000)	1,397	1,724	23%
Management Expenses (\$000)	3,402	3,793	11%
Commissions (\$000)	742	724	(2%)
Total Costs(\$000)	5,541	6,241	13%
Technical Profit(000)	2,178	2,625	21%
Claims Ratio	18%	19%	1%
Expense Ratio	54%	51%	(3%)
Combined Ratio	72%	70%	(2%)
Total Assets (\$000)	34,734	40,472	17%
Total Liabilities (\$000)	13,512	15,983	18%
Current Assets	8,167	13,448	65%
Current Liabilities	5,915	8,103	37%
Liquidity Ratio	387%	166%	(221%)
Free Capital(\$000)	21,222	24,482	15%
Capital to liability Ratio	157%	153%	(4%)
Prescribed Assets (\$000)	110	40	(64%)
Prescribed Asset Ratio (%)	0	0	-

4.0 Update on Number of Operational Institutions

This report is based on 9 funeral assurance companies.

5.0 Business Written

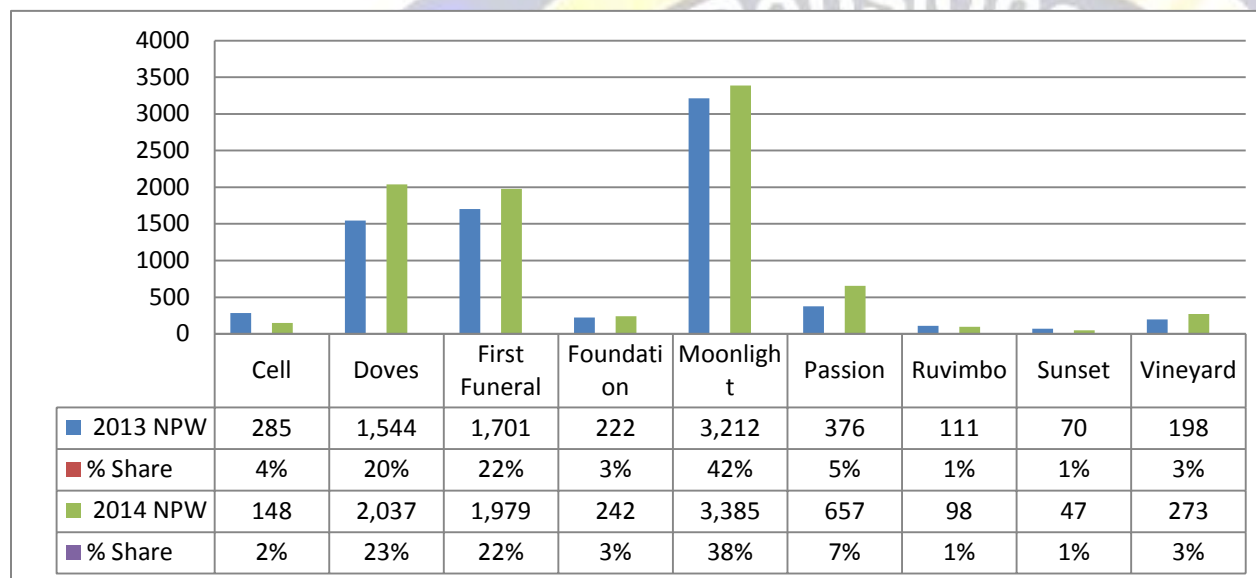
For the quarter under review, the industry wrote \$9million in net premiums (March 2013:\$8million).This was a 15% growth from the comparative period last year (See Table 2 below).

Table 2: Net Premium Distribution by Company for the quarter ended 31 March2014

Name Of Company	March 13(000)	March 14(000)	Growth
Cell	285	148	-48%
Doves	1,544	2,037	-32%
First Funeral	1,701	1,979	-16%
Foundation	222	242	9%
Moonlight	3,212	3,385	5%
Passion	376	657	75%
Ruvimbo	111	98	-12%
Sunset	70	47	-33%
Vineyard	198	273	38%
Total	7,719	8,866	15%

Further, Table 2 above and Figure 1 below show that the top three funeral companies controlled 83% or \$7million of the business written in the quarter of this year (March 2013:84% or \$6million).

Figure 1: Market Share by Net Premium Written for the quarter ended 31 March 2014 (\$'000)



6.0 Business Composition

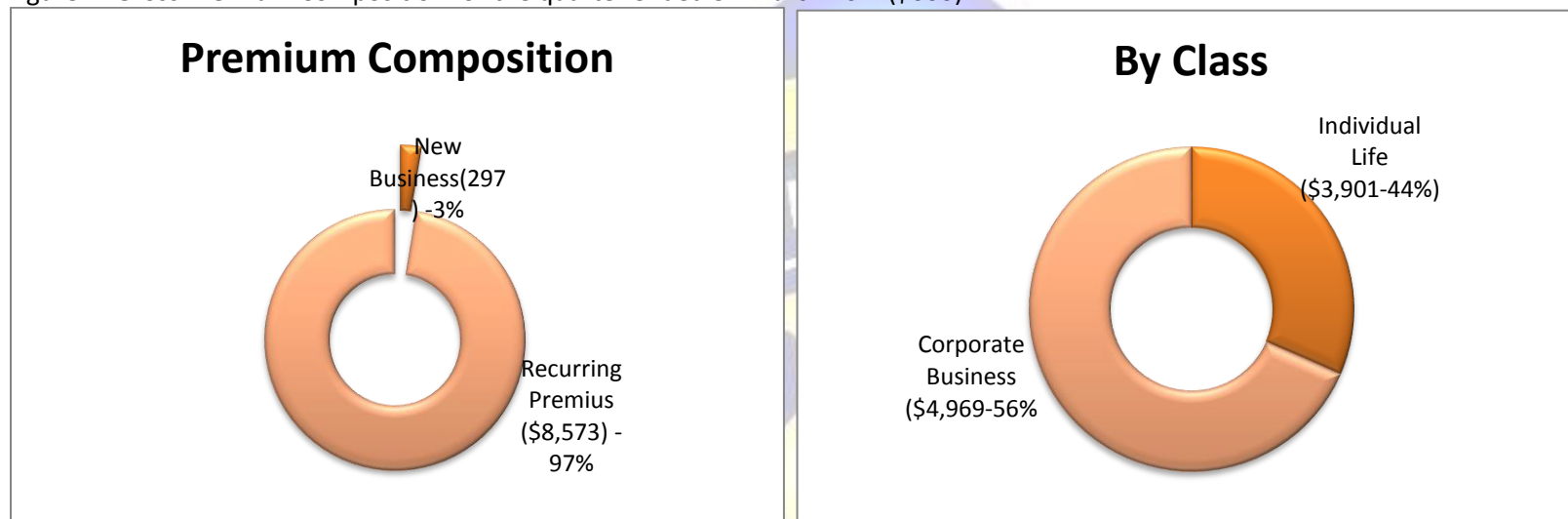
For the quarter ended 31 March 2014, funeral assurers wrote 44% or \$4million worth of premiums from individual lines business whilst the remainder was corporate clients.

New business continued to be limited at 3% for the industry as recurring premiums remained flat at 97% of total gross premiums. This may be a red flag for industry to invest in product innovations coupled with robust product distribution strategies. The Commission encourages the funeral industry to be more competitive in product design and packaging in order to match potent competition from both their life assurance peers and options to self insure. Players are also encouraged to use their existing distribution channels to access new markets via micro insurance whose framework will be circulated to the industry soon (See Table 3 and Figure 2, below).

Table 3: Business Composition by Company for the quarter ended 31 March 2014

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-13	Mar-14	Growth (%)	Mar-13	Mar-14	Growth (%)	Mar-13	Mar-14	Growth (%)	Mar-13	Mar-14	Growth (%)	Mar-13	Mar-14	Growth (%)
Cell	2	1	(50%)	20	47	135%	263	0	-	0	103	0%	285	150	(47%)
Doves	0	10	0%	0	972	0%	0	68	0%		987	0%	1,544	2,037	32%
First Funeral	137	60	(56%)	1,564	1,919	23%	0	0	0%	0	0	0%	1,701	1,979	16%
Foundation	0	2	0%	222	240	8%	0	0	0%	0	0	0%	222	242	9%
Moonlight	1	0	-	1,029	149	(86%)	250	125	(50%)	1,931	3,112	61%	3,211	3,386	5%
Passion	19	15	(21%)	113	165	46%	14	7	(50%)	231	469	103%	377	656	74%
Ruvimbo	0	0	0%	11	0	-	0	0	0%	100	98	(2%)	111	98	(12%)
Sunset	0	0	0%	70	48	(31%)	0	0	0%	0	0	0%	70	48	(31%)
Vineyard	12	9	(25%)	187	264	41%	0	0	0%	0	0	0%	199	273	37%
TOTAL	171	97	(44%)	3,216	3,804	18%	527	200	(62%)	2,262	4,769	112%	7,720	8,869	15%

Figure 2: Gross Premium Composition for the quarter ended 31 March 2014(\$000)



7.0 Not-taken Up policies and Lapsed Policies

For the quarter ended 31 March 2014, funeral assurers reported not-taken up policies amounting to \$45 000(March 2013:\$245 000) with a few companies reporting high lapse ratios in excess of 25% .The reduction in the statistics was attributable to two major players broadening their trading licenses to life companies(See Table 4,below).

Table 4: Not-taken Up policies and Lapsed Policies for the quarter ended 31 March 2014

		Lapse Ratios			
Not Taken Up Policies					
	Total Premiums(000)		Individual (%)	Group Bus (%)	
Cell	3	Cell	0	0	
Doves	0	Doves	0	0	
First Funeral	34	First Funeral	38	2	
Foundation	0	Foundation	103	0	
Moonlight	8	Moonlight	0	24	
Passion	0	Passion	0	0	
Ruvimbo	0	Ruvimbo	14	14	
Sunset	0	Sunset	0	0	
Vineyard	0	Vineyard	17	5	
Total	45	Total	-	-	

8.0 Claims Aged Analysis

For the period under review, players reported a largely current claims portfolio. The Commission requires players to promptly settle all legitimate claims failure of which we may invoke the law and impose penalties ranging imposition of penalties to cancellation of licenses in dire cases. In general the funeral assurance industry has proved to be prudent and of high integrity in settling claims. The industry should continue to ensure that funeral service providers complement their business. In this regard the co-existence arrangement between the Zimbabwean Association of Funeral Assurers and Funeral Services Providers Association (FUSA) is a welcome development (See Table 5 below).

Table 5: Claims Aged Analysis

Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	5	0	4	0	1	0	0	0	0	10
31-60days(000)	0	0	10	0	0	0	0	0	0	10
61-90days (000)	0	0	8	0	0	0	0	0	0	8
91-120days (000)	0	0	8	23	0	0	0	0	0	31
<121 days (000)	0	0	179	0	0	0	0	0	0	179
Reinsurance (000)	0	0	0	0	0	0	0	0	0	0
Total	5	0	209	23	1	0	0	0	0	238

9.0 Debtor Aged Analysis

For the quarter ended 31 March 2014, players reported \$1.9million or 21% of gross premiums in premiums receivables (March 2013: \$2million or 13%). This is due to liquidity challenges facing the economy. As part of disclosure duties of the players, the Commission urges the industry to disclose up-front the quantum of outstanding premiums to policyholders and also consequences of non-payment to avoid unnecessary bad publicity. Players are encouraged to observe premium grace periods and these must be disclosed in the policy wording (See Table 6, below).

Table 6 : Debtors Aged Analysis

Name of Company	Cell	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
>30days (000)	4	0	0	4	84	234	1	0	76	403
31-60days(000)	3	0	0	4	101	117	3	0	46	274
61-90days (000)	4	0	153	2	130	90	0	0	28	407
91-120days (000)	0	0	0	3	194	187	0	0	14	398
<121 days (000)	0	0	0	15	89	262	0	0	50	416
Total (000)	11	0	153	28	598	890	4	0	214	1,898

10.0 Earnings

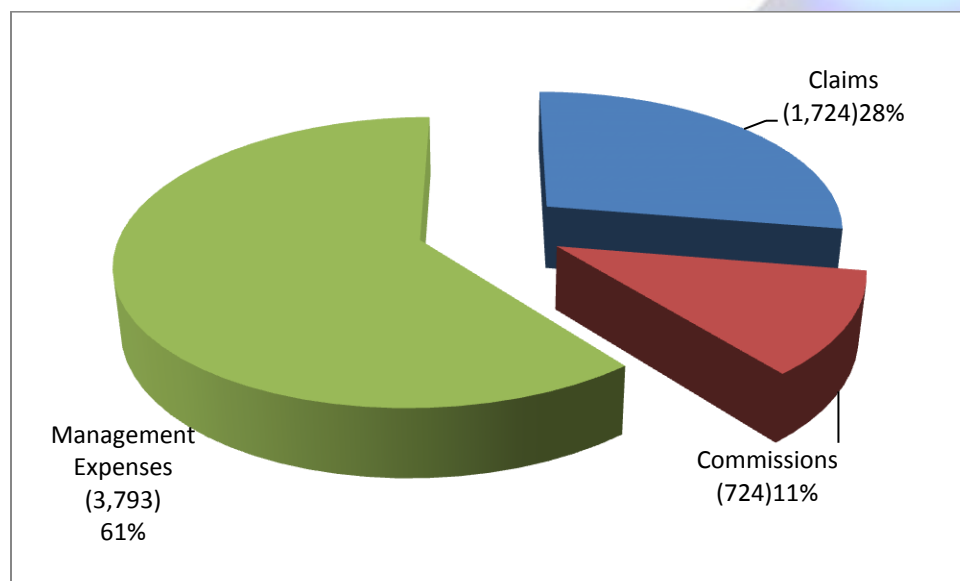
For the period under review, the funeral industry reported a claims ratio of 19%(March 2013:18%) and an expense ratio of 51%(March 2013:54%), resulting in a combined ratio of 70% (March 2013:72%).

The top cost drivers were management costs which amounted to \$4million or 61% of total costs(March 2013:\$3million or 61%) and the claims bill which closed the quarter at \$2million or 28% (March 2013:\$1million or 25%) with the balance of 11% or \$1 million being commission(March 2013:\$1million or 13%). Resultantly the industry realized \$3million in operating profit or 30% profit margin. (see Table 7 and Figure 3,below).

Table 7: Key Earnings Indicators By Company for the Quarter ended 31 March 2014

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	Mar-14	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth	Mar-13	Mar-14	Growth
Cell	148	9	4	-56%	3	2	-33%	187	212	13%	199	218	10%	70%	147%	77%
Doves	2,037	424	467	10%	96	141	47%	275	613	123%	795	1,221	54%	51%	60%	9%
First Funeral	1,979	462	576	25%	370	397	7%	475	523	10%	1,307	1,496	14%	77%	76%	-1%
Foundation	242	35	29	-17%	24	17	-29%	146	183	25%	205	229	12%	92%	95%	9%
Moonlight	3,385	342	508	49%	225	127	-44%	2,066	1,906	-8%	2,633	2,541	-3%	82%	75%	15%
Passion	657	61	80	31%	3	20	567%	158	132	-16%	222	232	5%	59%	35%	-24%
Ruvimbo	98	31	11	-65%	3	2	-33%	72	72	0%	106	85	-20%	95%	87%	-11%
Sunset	47	0	1	-	2	2	0%	20	31	55%	22	34	55%	31%	72%	41%
Vineyard	273	33	48	45%	16	16	0%	3	121	3933%	52	185	256%	26%	68%	42%
Total	8,866	1,397	1,724	23%	742	724	(2%)	3,402	3,793	11%	5,541	6,241	13%	72%	70%	148%

Figure 3: Cost Distribution By Company for the Quarter ended 31 March 2014(\$000)



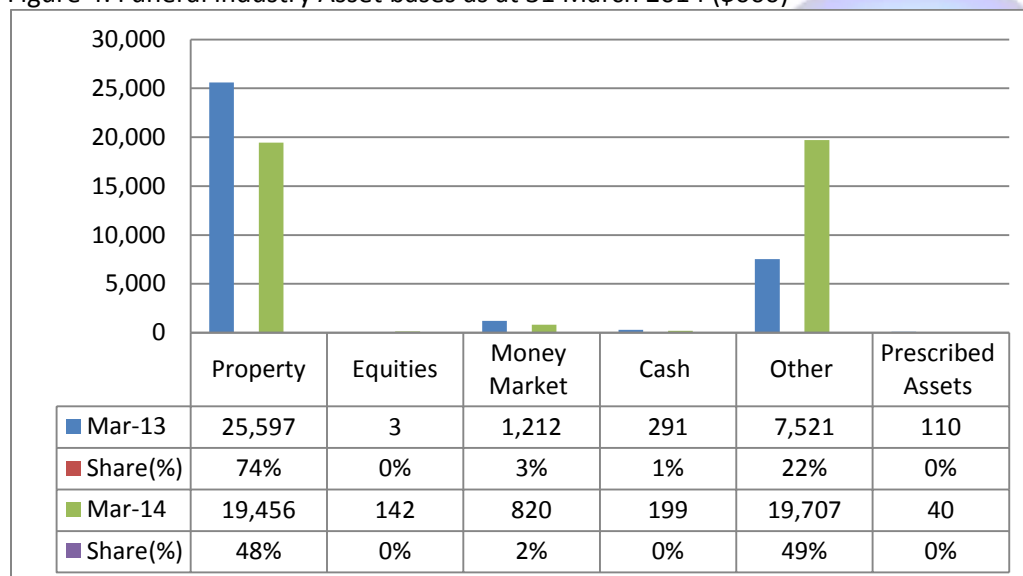
11. Asset Quality

For the period under review, industry assets were spread over fixed properties {48% or \$19million, March 2013:\$26million or 76%}, equities {0% or \$0.1million, March 2013 :\$0.003million or 0%}, money market{2% or \$0.8million, March 2013:\$1million or 3%} near cash assets {0% or \$0.2million, March 2013:1% or \$0.3million} and other assets {49% or \$20million, March 2013:22% or \$8million}. Players **must** continue to be guided by Circular 1 of 2013 and actuarial guidance in order to satisfy regulatory requirements and optimum asset-liability balance.

Table 8: Funeral industry Asset bases as at 31 March 2014

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)		
	Mar-13	Mar-14	Var	Mar-13	Mar-14	Var	Mar-13	Mar-14	Var	Mar-13	Mar-14	Var	Mar-13	Mar-14	Var %	Mar-13	Mar-14	Ratio	Mar-13	Mar-14	Growth
Cell	509	226	-56%	0	16	0%	726	724	-	15	123	720%	140	234	67%	80	0	-	1,470	1,323	-10%
Doves	8,763	2,715	-69%	0	118	0%	353	102	(71%)	48	-108	-325%	2,277	11,471	404%	0	10	-	11,441	14,308	25%
F/Funeral	1,085	1,344	24%	0	11	0%	0	0	-	77	26	-66%	2,337	4,302	84%	10	0	-	3,509	5,683	62%
Foundation	1,292	1,395	8%	0	0	0%	75	63	(16%)	18	25	39%	277	557	101%	10	7	(30%)	1,672	2,047	22%
Moonlight	11,540	10,289	-11%	0	0	0%	0	0	-	75	10	-87%	659	1,023	55%	0	16	-	12,274	11,338	-8%
Passion	300	300	0%	0	0	0%	25	0	-	3	68	2167%	475	819	72%	0	0	-	803	1,187	48%
Ruvimbo	702	703	0%	0	0	0%	0	0	-	13	4	-69%	958	946	-1%	0	0	-	1,673	1,653	-1%
Sunset	996	1,699	71%	0	0	0%	0	0	-	6	8	33%	37	23	-38%	0	0	-	1,039	1,730	67%
Vineyard	410	785	91%	3	3	0%	33	33	-	36	43	19%	361	332	-8%	10	7	(30%)	853	1,203	41%
Total	25,597	19,456	-24%	3	142	4633%	1,212	820	(32%)	291	199	(32%)	7,521	19,707	162%	110	40	(64%)	34,734	40,472	17%

Figure 4: Funeral industry Asset bases as at 31 March 2014 (\$'000)



11.1 Prescribed Assets

For the period under review, the funeral industry's subscription to prescribed paper is negligible. The industry is however required to participate meaningfully as availability of government paper improves since compliance is mandatory (See Table 8 and 9).

Table 9: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
ZB Financial Holdings	ZB Agrobills	To support 2012 Agricultural season	12months	11%	16 January 2014
Fidelity Life Assurance	Fidelity Life Assurance Bond	Funding Development of Southview Park	5years	8%	17 February 2014
IDBZ	IDBZ Bond	Infrastructure Development	1year	7%	17 February 2014

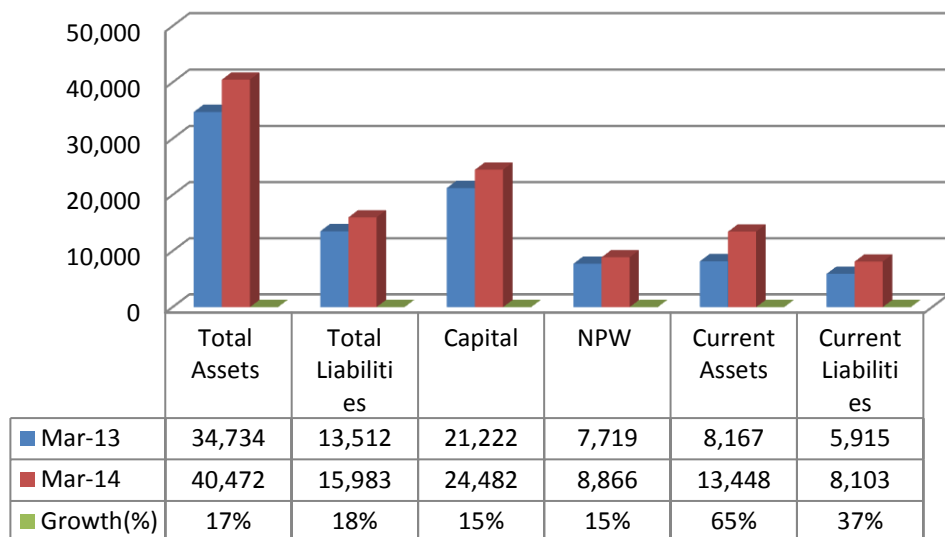
12. Capitalization, Liquidity and Solvency

Players are reminded of the June 2014 deadline to comply with capital levels of \$1,500,000 as prescribed by Statutory Instrument 21 of 2013 failure of which may leave the Commission with no option but to penalize offenders in terms of the Act(See Table 10 and Figure 5, below).

Table 10: Levels of Capitalization and Solvency Estimates for the Quarter ended 31 March 2014(\$000)

Co.	Total Assets (000)		Total Liabilities (000)			Capital(Net Assets) (000)			NPW (000)		Capital To Liability Ratio (%)			Capital To Net Premium Ratio (%)			Current Assets			Current Liabilities			Current Ratio		
	Mar-13	Mar-14	Mar-13	Mar-14	%	Mar-13	Mar-14	%	Mar-13	Mar-14	Mar-13	Mar-14	%	Mar-13	Mar-14	%	Mar-13	Mar-14	%	Mar-13	Mar-14	%	Mar-13	Mar-14	%
Cell	1,470	1,323	372	514	38%	1,098	809	-26%	285	148	295	157	-138	385	547	162	961	939	-2%	372	514	38%	258	183	-75
Doves	11,441	14,308	1,043	1,336	28%	10,398	12,972	25%	1,544	2,037	997	971	-26	673	637	-36	2,678	5,275	97%	632	983	56%	424	567	143
First Funeral	3,509	5,683	616	991	61%	2,893	4,692	62%	1,701	1,979	470	473	3	170	237	67	2,424	4,339	79%	460	456	-1%	527	952	425
Foundation	1,672	2,047	1,035	1,588	53%	637	459	-28%	222	242	62	29	-33	287	190	-97	380	462	22%	324	389	20%	117	119	2
Moonlight	12,274	11,338	9,395	10,339	10%	2,879	999	-65%	3,212	3,385	31	10	-21	90	30	-60	735	1,033	41%	3,325	4,709	42%	22	22	0
Passion	803	1,187	193	286	48%	610	898	47%	376	657	316	314	-2	162	137	-25	264	702	166%	193	289	50%	137	243	106
Ruvimbo	1,673	1,653	538	472	-12%	1,135	1,181	4%	111	98	211	250	39	1023	1205	182	317	310	-2%	364	472	30%	87	66	-21
Sunset	1,039	1,730	45	139	209%	994	1,591	60%	70	47	2209	1145	-1064	1420	3315	1895	6	10	67%	-	139	-	-	7%	-
Vineyard	853	1,203	275	318	16%	578	881	52%	198	273	210	277	67	292	323	31	402	378	-6%	245	152	-38%	164	249	85
Total	34,734	40,472	13,512	15,983	18%	21,222	24,482	15%	7,719	8,866	157	153	(4)	275	276	1	8,167	13,448	65%	5,915	8,103	37%	387	166	28

Figure 5: Capitalization and Solvency Estimates for the Funeral industry as at 31 March 2014 (\$000)



13. Acts, Statutory Instruments and Circulars

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table 11: Issued Acts, Circulars and Statutory Instruments for the quarter ended 31 March 2014

Nothing was issued in the first quarter		
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Conclusion

The industry grew by 15% and largely met their claim obligations timeously .However players are encouraged to manage their costs and pricing models efficiently in order to counter rising competition from life assurance companies. The industry must also take note of the June 2014 deadline for new capital levels in line with Statutory Instrument 21 of 2013

